



The Ground Transport Cost Audit

A working guide for finance and travel managers

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Why most organisations do not know what ground travel costs them

Ask a finance director what the company spends on staff taxis and you will usually get a number. Ask what it *costs*, and the conversation changes.

The gap between those two questions is what this guide is about. The invoice is the visible part. Around it sits a second cost — reclaim processing, approval time, disputed receipts, policy nobody applies, trips taken because nobody was watching — that rarely appears in any report, is almost never budgeted for, and in most organisations we have looked at is somewhere between **30% and 60% of the fare spend itself**.

How to read the numbers in this guide. Every figure here is from a stated model, not a survey. We show the assumptions each time so you can replace them with yours — that is what the worksheet on page 13 is for. A guide that quoted industry averages at you without saying where they came from would be easier to write and worth less.

Who this is for

You will get the most out of it if you are the person who signs off ground travel, or the person who has to reconcile it afterwards. It assumes no knowledge of mobility platforms and takes about twenty-five minutes to read.

What it will not do

It will not tell you to switch supplier. Three of the seven leaks below are fixed by writing a better policy and changing nothing else, and we have said so where that is the case. If the honest answer for your organisation is "your current arrangement is fine", the worksheet will tell you that, and we would rather you found out from us than from a wasted quarter.

The seven leaks

Each one below has the same shape: what it is, why it is invisible, what it typically costs, and whether fixing it needs a new supplier or just a decision.

Leak 1 — Reclaim processing

An employee takes a trip, pays for it, keeps a receipt, fills in a form, waits for an approver, and eventually gets the money back through payroll or a payment run.

Every step in that chain costs somebody's time. None of it appears anywhere near the travel budget, because it is absorbed as salary in finance, in line management, and in the employee's own working day.

The model. Take a mid-sized organisation with 120 reclaimed trips a month:

STEP	WHO	MINUTES	LOADED RATE	COST PER TRIP
Photograph receipt, complete form	Employee	6	₦6,500/hr	₦650
Review and approve	Line manager	3	₦12,000/hr	₦600
Check against policy, code, enter	Finance	5	₦7,500/hr	₦625
Payment run allocation	Finance	1	₦7,500/hr	₦125
15 min				₦2,000

At 120 trips a month that is **₦240,000 a month, or ₦2.88m a year**, to move money that was never in dispute. Against an average fare of ₦4,800 it is a **42% surcharge on every reclaimed trip**.

This is the leak nobody argues about once it is measured. It is also the one people are most surprised by, because the time is real, salaried, and spent on work that produces nothing.

Fix: direct billing. This one genuinely does need a supplier who can invoice you rather than charge your staff.

Leak 2 — Policy that is enforced after the money is spent

A travel policy in a PDF is a statement of intent. It becomes a control only at the moment somebody is stopped from doing something.

If the policy is checked at expense time, every breach has already happened. The organisation then has three options, all bad: pay it and say nothing, pay it and have an awkward conversation, or refuse it and have a worse one. In practice, most organisations pay.

The model. Assume 8% of trips fall outside policy — the wrong class of vehicle, outside permitted hours, or a journey that should have been a shared one — and assume, generously, that half of those are challenged and reversed:

Monthly trips	400
Out-of-policy	8% (32 trips)
Average excess over policy	₦2,600
Recovered on challenge	50%
Unrecovered monthly	₦41,600
Annual	₦499,200

The reversed half is not free either: each challenge is a conversation between a manager and an employee about ₦2,600, which costs more in goodwill than it returns in cash.

Fix: enforce at booking. A trip that is outside policy is either blocked or routed to an approver *before* it happens, so there is nothing to claw back and no conversation to have.

Leak 3 — The pricing you cannot verify

If your ground travel is bought on a metered or dynamic basis and reimbursed on receipt, you have no way to tell an expensive trip from an overcharged one. The receipt says ₦11,400. It does not say whether the same journey was ₦6,200 an hour earlier.

This is not usually fraud. It is surge, an unnecessarily long route, a wait charge from a pickup point nobody could find, or a vehicle class nobody chose deliberately. Each is small. None is visible.

The model. Same 400 trips a month. Suppose 12% of them are materially above what the same journey costs at a normal hour, by an average of ₦2,900:

Affected trips	48/month
Average excess	₦2,900
Monthly	₦139,200
Annual	₦1.67m

Warning: this is the leak most likely to be *smaller* than the model for your organisation, and it is entirely dependent on whether your people travel at peak. Before you take this number seriously, pull twenty receipts for the same route and compare them. That exercise takes an hour and is worth more than any figure we can print.

Fix: upfront, fixed pricing with the route on the record. Not a new supplier necessarily — some existing arrangements can be moved to fixed corporate rates on request.

Leak 4 — Nobody sees the spend until it is spent

Ground travel is one of very few budget lines where the first report arrives weeks after the last decision. A department that overspends in the first week of a month cannot be told until the month is over.

The cost here is not a number on an invoice. It is that no correction is possible while a correction would still help.

Fix: live visibility. Costs nothing and needs no supplier change if your provider already offers a dashboard — many do and almost nobody switches it on.

Leak 5 — Duty of care by group chat

When somebody travels for work at night, in an unfamiliar city, or to a site alone, the organisation carries a duty of care. In most companies that duty is discharged by asking the person to text when they arrive.

This is a real risk with an unclear price. What it costs is whatever one incident costs, times the probability of one, and neither number is knowable in advance — which is exactly why it gets left alone.

What can be said is that the mitigations are cheap: knowing who is travelling, on which vehicle, with which driver, and being able to reach them. If your current arrangement cannot answer those four questions in under a minute, that is a finding worth writing down whatever else you conclude.

Fix: verified drivers, recorded trips, and a live view of who is travelling.

Leak 6 — VAT and cost allocation you cannot reconstruct

A folder of individual receipts is not an audit trail. Reclaiming input VAT on ground travel requires documentation in a form your auditor accepts, and receipts photographed by 60 employees on 60 phones are not reliably that.

Separately, if trips are not coded to a cost centre or a project at the point of booking, they are coded afterwards by somebody guessing — which makes departmental travel figures approximations, and makes rebilling a client for travel a negotiation rather than a calculation.

The model. 400 trips at ~~£~~4,800, VAT at 7.5%, with 30% of receipts insufficient to support a reclaim:

Monthly fare spend	£1,920,000
Recoverable VAT	£144,000
Lost to poor documentation (30%)	£43,200
Annual	£518,400

Fix: one consolidated, compliant invoice with cost centres already on it.

Leak 7 — The trips that should not have happened

The one nobody puts in a proposal, because it sounds like an accusation. It usually is not one.

When ground travel is easy to claim and invisible until month end, more of it happens. Some is genuinely necessary. Some is a meeting that could have been a call, two colleagues travelling separately to the same place, or a trip taken at 4pm that would have cost 40% less at 7pm.

Fix: visibility, and nothing else. In every organisation we have seen, the volume falls on its own once departments can see their own numbers weekly. No policy required — people respond to being able to see the effect of their own decisions.

What the seven add up to

Using the models above, for an organisation running **400 trips a month at an average fare of ₦4,800** — a monthly fare spend of ₦1.92m:

LEAK	MONTHLY	ANNUAL	NEEDS A NEW SUPPLIER?
1. Reclaim processing (120 reclaimed)	₦240,000	₦2,880,000	Yes
2. Policy enforced too late	₦41,600	₦499,200	Usually
3. Unverifiable pricing	₦139,200	₦1,670,400	Sometimes
4. No live visibility	Not modelled	—	No
5. Duty of care	Not modelled	—	No
6. VAT and coding	₦43,200	₦518,400	Yes
7. Unnecessary trips	Not modelled	—	No
Modelled total	₦464,000	₦5,568,000	

That is 24% of the fare spend, in costs that never appear on a travel invoice.

Decision: three of the seven need nothing from anybody but you. If you read no further, the highest-return thing on this list is turning on weekly departmental visibility — leak 4 and leak 7 both close on their own once people can see their own numbers, and neither requires a procurement process.

Reimbursement versus direct billing

This is the single largest structural choice, so it is worth setting out properly rather than leaving inside leak 1.

What each actually costs

Per trip, at the loaded rates used earlier:

	REIMBURSEMENT	DIRECT BILLING
Employee time	6 min (£ 650)	0
Manager approval	3 min (£ 600)	0 for in-policy trips
Finance processing	6 min (£ 750)	~0.2 min amortised (£ 25)
Payment run	Per employee, monthly	One invoice
Cash-flow position	Employee funds the business	Business funds the business
VAT documentation	Per receipt, variable	One compliant invoice
Policy enforcement	After the fact	At booking
Administrative cost per trip	£2,000	£25

The part that is not about money

Reimbursement moves the working-capital burden onto the employee. Someone on a junior salary who takes £40,000 of work travel in a month is lending the organisation £40,000 at 0%, and waiting on a payment run to get it back.

Most organisations have never framed it that way, and most find it uncomfortable once they do.

Why: we raise it because it changes the decision. Direct billing is usually justified on administrative cost alone. But if two candidate suppliers are close on price, this is the tie-breaker that shows up in retention rather than in the travel line.

When reimbursement is still right

Be fair to it: reimbursement is the correct answer when travel is genuinely occasional. Below roughly **25 trips a month**, the modelled administrative saving is under ~~£~~50,000 and does not justify onboarding a supplier, agreeing terms and training people.

The crossover is not a big number, but it is a real one. Find yours on page 13.

Writing a policy people actually follow

Most corporate travel policies fail the same way: they are long, they are written to cover every case, and they are enforced by an approver reading a receipt three weeks later.

A policy that works has four properties.

It fits on one page. If it cannot, the rules are too fine-grained to be applied consistently, and inconsistent enforcement is worse than none — it teaches people that the policy is negotiable.

It is expressed in things a system can check. "Use your judgement about cost" cannot be enforced. "Standard vehicle class within the city; executive class only for client-facing travel, with approval" can.

It has a default, not a prohibition. People route around prohibitions and resent them. A policy that says "book standard; if you need something else, it goes to your manager and usually gets approved" produces the same spend and none of the resentment.

It is enforced at the moment of booking. Everything above is theatre if the first check happens at expense time.

A one-page policy that works

Who may book. Anyone in the employee directory. There is no request-for-access step — that step is where policies go to be circumvented.

Default class. Standard, for all city travel.

When approval is needed. Executive class; any trip over ₦25,000; any trip between midnight and 5am; any trip outside the metropolitan area. Approval is the line manager and is expected to take under an hour.

Coding. Every trip carries a cost centre. It defaults to the traveller's own and can be changed at booking for client work.

Late travel. Any trip after 21:00 is booked through the platform, never privately reimbursed, so the organisation knows where its people are.

What is not covered. Commuting. Personal travel. Travel for a third party who is not an employee, unless it is booked as guest travel with an approver.

That is the entire thing. It is enforceable, it is checkable by a system at booking, and it fits on one side of a sheet of paper.

The worksheet

Twenty minutes and your last full month's travel data. Fill in the middle column; the right column shows the model's figures for comparison so you can see where you differ.

Part 1 — Your baseline

	YOURS	MODEL
A. Trips last month		400
B. Total fare spend		¥1,920,000
C. Average fare ($B \div A$)		¥4,800
D. Trips reimbursed rather than billed		120
E. Employees who claimed travel		45

Part 2 — Your administrative cost

	YOURS	MODEL
F. Minutes per claim, end to end		15
G. Blended loaded rate per hour		¥8,000
H. Admin cost per claim ($F \div 60 \times G$)		¥2,000
I. Monthly admin cost ($D \times H$)		¥240,000
J. Annual ($I \times 12$)		¥2,880,000

On the loaded rate. Use salary plus employer costs divided by working hours, not the headline salary. Understating it is the most common way this worksheet comes out too flattering to the status quo.

Part 3 — Your policy leakage

	YOURS	MODEL
K. Trips outside policy last month		32
L. Average excess per breach		₦2,600
M. Proportion actually recovered		50%
N. Monthly leakage ($K \times L \times (1 - M)$)		₦41,600

Part 4 — Your pricing variance

Pick one frequently travelled route. Pull the last twenty trips on it.

	YOURS	MODEL
O. Lowest fare on that route		₦6,200
P. Highest fare on that route		₦11,400
Q. Median fare		₦7,100
R. Trips above median + 25%		12%
S. Monthly variance cost ($A \times R \times (Q \times 0.25)$)		₦139,200

Part 5 — Your total

	YOURS	MODEL
T. Monthly leakage ($I + N + S$)		₦420,800
U. As a proportion of fare spend ($T \div B$)		22%
V. Annual ($T \times 12$)		₦5,049,600

Read U, not V. The annual figure is the one that gets quoted in a meeting; the percentage is the one that tells you whether this is worth your time. Under 10%, leave it alone and spend your attention elsewhere. Over 20%, it is one of the better-returning things on your desk this quarter.

Questions to ask any mobility provider

Ask all eleven. The useful ones are the four a vendor cannot answer with a yes.

On pricing

1. Is the fare fixed before the trip, and can it change afterwards for any reason?
2. Show me the same journey priced at 08:00 and at 20:00. What is the difference?
3. What exactly is charged for waiting, cancellation and a changed destination?

On policy and control

4. Where is policy enforced — at booking, or at invoice?
5. What happens to a trip that breaches policy? Blocked, approved, or flagged after the fact?
6. Can a cost centre be set at booking, and by whom?

On the invoice

7. Is it one invoice, or one per traveller?
8. Does it carry cost centres and project codes, or do we add those afterwards?
9. Is it sufficient documentation for a VAT reclaim without individual receipts?

On the things that only matter on a bad day

10. What happens when the platform is down mid-trip? Who do we call, and what can they do?
11. A driver is disputed by one of our employees. Walk me through what you can see and what you can do about it, in order.

Decision: questions 5, 9 and 11 are the ones that separate suppliers. Everything else is answerable by most of the market. If a provider is vague on any of the three, the vagueness is the answer.

A 30/60/90 day plan

Do not migrate the organisation. Migrate a department, look at the invoice, and then decide.

Days 1–30 — Measure, and pilot one department

- Complete the worksheet with real numbers. If U is under 10%, stop here; you have your answer and it cost you a morning.
- Pick one department: 20–40 people, regular travel, a manager who will actually give you feedback. Not the executive team — their travel is atypical and their patience is short.
- Write the one-page policy. Circulate it as a draft and take the objections seriously; the objections are usually where the policy is wrong.
- Turn on whatever visibility your current arrangement already offers. Leaks 4 and 7 start closing immediately and cost nothing.

Days 31–60 — Run it, and let it be imperfect

- Run the pilot department entirely on direct billing. Keep reimbursement available as an escape hatch and count how often it is used — that count is your real requirements list.
- Review week by week, not at the end. The problems worth fixing surface in week two.
- At day 45, ask the pilot department one question: *is this better or worse than before?* Volunteered detail after that question is worth more than any survey.

Days 61–90 — Compare, then decide

- Put the pilot month's invoice next to the same department's previous quarter.
- Recalculate the worksheet using the pilot's actual figures rather than the model's.
- Decide on the whole organisation with real numbers from your own people.

Why 90 days and one department: because the alternative — a platform-wide rollout on the strength of a demo — is how organisations end up with an expensive system nobody uses and no way to tell whether it helped. A pilot that fails costs you one department and one month.

About Orbit

Orbit is a ride-hailing platform built and operated by **Crokta Engineering Limited**. Orbit for Business is the corporate side of it: policy and budgets enforced at booking, one consolidated invoice coded to your cost centres, live visibility of every trip, and verified drivers on all of them.

We wrote this guide because the conversations we have with finance teams keep starting in the same place, and the first half of them is the same every time. If it saves you that half, it has done its job — whether or not you ever talk to us.

If you would like a hand running the worksheet against your own numbers, we will do it with you. It takes about an hour, there is no obligation, and if the answer is that your current arrangement is fine, we will say so.

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